

1.1. Definition

Employment relation is established through a contract of employment and it shall be deemed formed where a person (the employee) *agrees, directly or indirectly, to perform work for and under the authority of another (the employer) for a definite or indefinite period or piece work in return for wages*. Let us try to examine the elements of this definition.

Agreement

The definitional elements of an employment contract indicate that agreement is the basis for employment relation and this automatically excludes forced labour from the ambit of employment relations. Hence a person cannot be compelled to enter into an employment relation. Thus in this sense it is a voluntary engagement.

directly or indirectly. For instance, a person may directly or personally negotiate with his/her employer and conclude a contract of employment thereafter. The other possibility is public/private employment. Nevertheless, it is important to note that agreement to employment relation may be expressed agencies may serve as intermediaries between the employer and the employee with a view to facilitating their relations. Thus the agreement may be expressed personally or indirectly through employment agencies.

Performance of work

The other element under the definition is the agreement from the side of the employer is “to perform work for of the employer”. The employee will be required to render personal service. In this sense, the employee is committing him/her/self to render personal service for the benefit of the employer. Unlike a contract of sale where the seller delivers something tangible to the buyer, in the present case, the employee is making his service available (i.e. something intangible) to the benefit of the employer. Through this arrangement the employee is putting his skill and working capacity at the disposal of the employer. Although the employee may express his/her agreement indirectly, his/her service is to be provided personally. S/he cannot, as of right, delegate another person to render service in his/her behalf.

1.1.3. Under the authority of the employer

The employee will be required to render the said service within the frame work of the instruction of the employer. This in effect means the employer will possess the prerogative to direct, supervise and control the manner and performance of the employee. Consequently, the employer will have the power to determine what work to be done; when to be done; where to be done; how to be done and with whom to be done.

It is important to note, however, that the authority granted to the employer over the employee is not meant and intended to establish a master and servant relationship. On the contrary, it is within the framework of the terms of the contract that the scope of the authority of the employer over the employee will be determined.

Working under the authority of the employer differentiates an employee from an independent contractor. An independent contractor performs work for the benefit of his/her client but in performing such work s/he is not under the strict direction of the client. The client in such cases is interested on the result and not on the manner how the result was achieved. For example, if a client seeks the service of a tailor to make him a three pieces suit, he will not have an interest where and how it is made so long as the agreed date and quality of the product is maintained. But in case of an employer, he is not only interested on the result but also on the manner of arriving at such result. Therefore it is safe to conclude that where the “employer” has no or minimal authority over his “employee” the relationship between them is client-independent contractor relationship not employer-employee.

Length of employment

As regards to duration, a contract of employment could be entered into either for definite period (for six months, for one year etc), or for indefinite period (i.e. for the life of the company), or for a specific assignment (to unload sacks of grain from a truck). As we all know marriage, in principle, is a life long engagement. This is not the case for employment relation. There is no as such life long contract of employment.

Wage

Last but by no means is least; among the definitional elements is wage. As the employee is committing himself/herself to render personal service for the benefit and under the authority of the employer, the employer will have a corresponding duty to perform. It will be expected and

required to pay wage to the employee. Hence employment relation is not a pro bono service. On the contrary, it is a service in return for wages.

The mode of payment for wage could be in cash or in kind though ordinarily payment is effected through cash. As regards to the interval of payment, it could be in daily, weekly, bi-monthly, monthly etc. basis or it could be assessed on piece rate. The manner or the mode of payment will not have any effect on the relationship of the parties.

From the above discussions, we tried to highlight the elements of a contract of employment. If and when these elements are cumulatively satisfied, the status of the parties will be held as employer and employee relationship.